

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 886

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO TAXATION; PROVIDING LEGISLATIVE FINDINGS AND INTENT; REPEALING SECTION 63-216, IDAHO CODE, RELATING TO A RESTRICTION ON STATE PROPERTY TAX WHEN SALES TAX IS IN FORCE; AMENDING CHAPTER 6, TITLE 63, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 63-602PP, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING EXEMPTIONS FROM STATE PROPERTY TAX; AMENDING SECTION 63-801, IDAHO CODE, TO PROVIDE FOR AN ANNUAL STATE PROPERTY TAX LEVY; AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. LEGISLATIVE FINDINGS AND INTENT. (1) The Legislature finds that the rapid proliferation of non-primary residential properties and high-occupancy short-term rentals has placed an unprecedented and disproportionate strain on Idaho's public safety infrastructure. The increased demand for law enforcement, emergency medical services, and fire protection, particularly in areas with high seasonal populations, frequently outpaces the revenue generated by traditional local property tax structures. Furthermore, the displacement of Idaho's workforce by out-of-state investment interests has created a critical shortage of local first responders who can afford to live in the communities they serve. It is therefore the intent of the Legislature to:

(a) Establish a sustainable revenue source dedicated to the funding of emergency services and law enforcement; and

(b) Ensure that those who utilize Idaho's residential market for seasonal or investment purposes contribute proportionally to the public safety systems that protect their investments.

(2) The Legislature finds that while residential expansion adds to the tax base, the growth-related costs associated with infrastructure, maintenance, and the constitutional mandate to provide a "general, uniform and thorough system of public, free common schools" frequently exceed the revenue generated by primary residential homesteads. Under the current tax system, the financial burden of rapid growth falls unfairly on Idaho's long-term residents and workforce. By distinguishing between primary dwellings and secondary residential investments, the state can mitigate this imbalance. It is therefore the intent of the Legislature to:

(a) Utilize a state-level levy on non-primary residential properties to offset the increased financial obligations of the state and its local taxing districts caused by rapid expansion; and

(b) Direct revenue from such state-level levy toward direct property tax credits for primary homesteads, thereby lowering the tax burden for Idaho citizens.

(3) In accordance with Section 2, Article VII of the Constitution of the State of Idaho, the Legislature hereby declares that this state property tax is needful to ensure the long-term viability of Idaho's physical infra-

structure. The Legislature finds that the conversion of residential neighborhoods into high-turnover investment properties places unique stress on local road networks, water systems, and sewer facilities originally engineered for lower-intensity use. Seasonal surges and high-occupancy periods require accelerated maintenance of public thoroughfares and necessitate expanding water treatment and sewage processing capacities to handle peak demand. Because these capital-intensive utilities must be maintained at maximum capacity regardless of fluctuating occupancy rates, the costs of such readiness must be shared by those driving the demand. It is therefore the intent of the Legislature to ensure that the development and maintenance of roads, water systems, and sewer infrastructure are funded through a system where secondary residential investments contribute to community infrastructure that sustains their property value.

SECTION 2. That Section [63-216](#), Idaho Code, be, and the same is hereby repealed.

SECTION 3. That Chapter 6, Title 63, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 63-602PP, Idaho Code, and to read as follows:

63-602PP. EXEMPTIONS FROM STATE PROPERTY TAX. (1) The following property is exempt from the state property tax authorized in section 63-801, Idaho Code:

- (a) Personal property;
- (b) Operating property;
- (c) Forest land as defined in section 63-1701, Idaho Code;
- (d) Property primarily devoted to the exploration, development, or extraction of any mineral as that term is defined in chapter 7, title 47, Idaho Code, and any mining claims whether patented or unpatented;
- (e) Property that qualifies for the exemption provided in section 63-602G, Idaho Code;
- (f) Real property classified as commercial property, industrial property, or land actively devoted to agriculture;
- (g) Any additional residential property owned by a natural person who is a resident of the state of Idaho and who has been granted a homestead exemption pursuant to section 63-602G, Idaho Code, for a primary residence within the state; however, this exemption shall not apply to any property utilized as a short-term rental for more than thirty (30) days in a calendar year, unless said short-term rental has a maximum occupancy level of six (6) or fewer individuals; and
- (h) Residential property that is not a primary homestead but is occupied by a tenant under a long-term lease of at least seven (7) months and is not subleased by such tenant.

(2) Any person who knowingly provides false information regarding the occupancy, use, or homestead status of residential property to avoid the state property tax shall be subject to the penalties for escaped assessments as provided in section 63-1401, Idaho Code, and the recovery of back taxes and interest as provided in section 63-602G, Idaho Code.

SECTION 4. That Section 63-801, Idaho Code, be, and the same is hereby amended to read as follows:

63-801. ANNUAL STATE PROPERTY TAX LEVY -- STATE PROPERTY TAX FUND -- COLLECTION AND DISTRIBUTION. (1) The county commissioners in each county in this state must meet on the second Monday of September in each year to ascertain the tax rate necessary to be levied on each dollar of the valuation of all the taxable property in the county for such year in order to raise the amount of state taxes apportioned to such county by the state tax commission. The total of all levies must be within the limits prescribed by the laws of this state.

(2) ~~In any period during which a sales tax is in force in this state, there shall be no levy of the general state property tax permitted by section 9, article VII, of the constitution of the state of Idaho. There is hereby levied a state property tax on real and personal property not otherwise exempted by section 63-602PP, Idaho Code, as follows:~~

(a) The rate of such tax shall be two and one-half (2.5) mills on each dollar of the taxable value of all real and personal property subject to such tax; and

(b) The county treasurer shall collect the state property tax imposed pursuant to this section in the same manner as other property taxes pursuant to section 63-901, Idaho Code, and all revenues collected from the state property tax shall be remitted to the state treasurer for deposit into the state property tax fund.

(3) There is hereby created in the state treasury the state property tax fund. The fund shall consist of moneys deposited into it pursuant to this section, and such moneys are continuously appropriated to be distributed by the state tax commission to taxing districts as provided in this section. The funds shall be distributed by the state tax commission to taxing districts within the county where the taxes were collected as follows:

(a) Fifty percent (50%) of funds collected within such county shall be distributed to the county and the cities and fire districts therein to be used exclusively to fund law enforcement services, fire protection services, and emergency medical services. Such funds shall be allocated in proportion to each entity's share of the total public safety-related expenses of the county and all cities within the county. For the purposes of this paragraph, "public safety-related expenses" means the sum of any revenue raised from:

(i) A county levy pursuant to section 63-805, Idaho Code, to the extent such revenues are expended for sheriff services, jails, fire services, or ambulance services;

(ii) An ambulance service district levy pursuant to section 31-3901, Idaho Code;

(iii) Any fire protection district levy pursuant to chapter 14, title 31, Idaho Code;

(iv) A city general fund levy pursuant to section 50-235, Idaho Code, to the extent such revenues are expended for police services, fire services, or ambulance services; and

(v) A city police retirement levy pursuant to section 50-1512, Idaho Code;

1 (b) Thirty percent (30%) of funds collected within such county shall
2 be returned to the county for the purpose of providing a direct credit
3 against the property taxes due for homeowners receiving the homestead
4 exemption provided in section 63-602G, Idaho Code, located within such
5 county. The state tax commission shall calculate a flat-dollar credit
6 amount by dividing the total amount of funds allocated to the county
7 pursuant to this paragraph by the total number of properties receiv-
8 ing the homestead exemption in such county to determine the amount of
9 the credit to be applied to each property receiving the homestead ex-
10 emption. Such credit shall be applied to the property taxes due for
11 each homeowner entitled to a credit, and if the amount of the credit is
12 greater than the amount of property taxes due, the balance shall be paid
13 to the homeowner; and

14 (c) Twenty percent (20%) of funds collected within such county shall
15 be distributed to the county and the cities therein to be used exclu-
16 sively to fund infrastructure, capital expenditures, and maintenance
17 costs related to the following services: roads, water, sewer, fire pro-
18 tection, ambulance, and public safety. Such funds shall be allocated to
19 the county and the cities within the county in proportion to their re-
20 spective shares of the total property tax portion of the budgets cer-
21 tified for the county and each city within the county for the tax year.
22 Counties and cities that do not provide these services may remit such
23 funds to the governmental entity that provides the listed services.

24 (4) Amounts distributed to cities and counties pursuant to this section
25 shall not be included in the amount of property tax revenues to finance an
26 annual budget for the purposes of sections 63-802 and 63-803, Idaho Code, and
27 shall not be used in computing the limitations on increases in property tax
28 revenues provided in section 63-802, Idaho Code.

29 (5) The state tax commission shall, subject to legislative approval,
30 establish rules to carry out the provisions of this section.

31 SECTION 5. This act shall be in full force and effect on and after Jan-
32 uary 1, 2027.